

One key difference between these programs: what they do with the loans once you start paying them back. The Federal Direct Loan Program keeps its loans throughout the repayment period. That means if you got your loan through the Federal Direct Loan Program, you'll be writing your check to the Department of Education until it's paid off. With private lenders, it varies. Some big banks will keep the loans and have you pay them back. But many private lenders sell off their loans to other companies, known as the **secondary market**, which take over the bill collection. The biggest player in the secondary market, Sallie Mae (www.salliemae.com; 888-272-5543), handles about one-fourth of all federally backed student loans.

Throughout this chapter, I'll be using the term **servicer** to refer to the company that actually deals with you when you're paying off your student loans—whether it's the federal government, your original lender, or the secondary-market company that has bought your loan.

How to Reduce the Cost of Your Student Loans

Here are four strategies to consider:

- **Sign up for electronic payment.** If you agree to make automatic payments each month, there's a good chance your loan servicer may reduce your interest rate by a quarter of a percentage point.
- **Pay all your bills on time.** It may be possible to find a program that rewards you for timely payments. For example, Sallie Mae will write you a check or directly credit your account for a fraction of your monthly payment after you make your first twelve consecutive monthly payments on time and sign up for automatic payment.
- **Prepay your student loans.** If you're not weighed down by credit cards or other high-rate debt, consider paying back your student loans faster than you're required to under your current payment schedule. This will save you a substantial amount of interest in the long run. Say you have \$20,000 in loans with an interest rate of 6.8%. Assuming the interest